

That doesn't mean that shaky corporations don't issue bonds. In fact, there's a whole class of bonds (most commonly known as "junk bonds," though brokers understandably prefer the term "high-yield") that are issued by financially troubled firms. They pay higher coupon rates to attract investors. Because a junk bond fund typically invests in the bonds of a *number* of "junky" companies, the failure of any one company may not constitute a disaster for the fund's investors. If many of these companies were to fail and therefore default on their bonds, though, investors could earn a much lower return and might even lose a substantial part of the money they originally invested.

The second variable is the average number of years before the bonds in the fund come due, or "mature." **Short-term bond funds** typically invest in bonds that will mature in fewer than four years, **intermediate-term bond funds** in instruments with maturities of between four and ten years, and **long-term bond funds** in bonds that won't mature for at least ten years.

Because changes in both overall interest rates and the financial stability of specific companies have a big impact on long-term bonds, these bond funds are generally riskier than short-term funds. But the relative safety of short-term bond funds comes at a price: Historically, short-term funds haven't performed as well as intermediate-and long-term funds.

The upshot: It's all about how much risk you're willing to take. Funds that invest in the bonds of less stable companies are riskier than those that invest in solid companies; funds that invest in long-term bonds are riskier than funds that invest in the short-term bonds of similar companies. Only you can decide how much risk you're willing to accept for the possibility of a higher return. The choice is yours.

If you have the energy and enthusiasm to evaluate and keep track of more than one bond fund, consider spreading your money among several types of funds that fall at different points on the risk/return spectrum. If not, don't worry; the guidelines in the next section will allow you to hedge your bets while dealing with a single bond-fund approach.

Questions and Answers on Bond Funds

Q: Where can I get information about the types of bonds in a bond fund?